

The Buffett Indicator

The Buffett Indicator is the ratio of a country's total Market Capitalization to its Gross Domestic Product (GDP).

Warren Buffett famously called it "probably the best single measure of where valuations stand at any given moment."

How it Works

The indicator treats the stock market as a reflection of the overall economy. In a perfectly "fair" world, the value of all public companies would grow in lockstep with the economy.

Buffett Indicator = $\text{Gross Domestic Product} / \text{Total Market Capitalization} \times 100$

The 2026 Context

As of May 2026, the indicator is flashing a significant warning sign. While historical "fair value" was often considered to be around 100%, the current US market is sitting at approximately 225%–227%.

Here is how the zones are typically interpreted today:

- Significant Undervaluation: Below 90%
- Fair Value: 115% to 140%
- Modest Overvaluation: 140% to 165%
- Significant Overvaluation (Stretched): Above 165%

Why is it so high right now?

There is a lot of debate among investors about why the indicator has stayed so high (above 200%) recently:

1. Global Revenue: US tech giants (like Apple, Microsoft, and Nvidia) earn a massive portion of their profits outside the US, but those earnings aren't fully captured in US GDP.
2. Asset Concentration: A few massive companies now dominate the index, pushing the total market cap up faster than the broader economy.
3. Interest Rates: Low-interest rate environments in previous years pushed investors toward stocks, inflating valuations.

Important Note for Your Strategy

Since you track the NEPSE (Nepal Stock Exchange), keep in mind that the Buffett Indicator can be trickier in developing markets. In countries where many large businesses are still private (not listed on the exchange), the Market Cap/GDP ratio will naturally look much lower, even if the listed stocks are actually "expensive" relative to their earnings.

So anything above 1 is considered overpriced?

It is a common rule of thumb, but in today's financial landscape, "1.0" (or 100%) is no longer the definitive line for being overpriced.

While a reading of 100% used to be considered "fair value," modern markets—especially in the US—have shifted the goalposts. Here is how to look at it in May 2026:

1. The "Fair Value" Shift

Historically, 100% was the anchor. However, because of the massive growth of high-margin tech companies and globalized earnings, the "Fair Value" range has drifted upward. Most analysts now use these tiers:

- Fair Value: 115% to 140%
- Modestly Overpriced: 140% to 165%
- Significantly Overpriced: Anything above 165%

2. The Current 2026 Reality

Right now, the US Buffett Indicator is sitting at roughly 227% to 232%.

By any historical standard, this is considered "playing with fire." It's well above the levels seen during the Dot-com bubble or the 2008 crash. If we strictly used the "above 1.0" rule, the market would have been considered "overpriced" for almost the entire last decade.

3. Why "1.0" Might Be Misleading

There are three main reasons why a ratio over 1.0 doesn't always mean a crash is coming:

- Foreign Profits: Big companies (like Nvidia or Apple) earn most of their money outside the US. That profit boosts their Market Cap, but it isn't counted in US GDP. This naturally pushes the ratio above 1.0.

- Interest Rates: When interest rates are low, investors are willing to pay more for stocks because bonds offer poor returns. This inflates the ratio without necessarily meaning companies are "failing."
- Asset-Light Businesses: Software and AI companies don't need huge factories (which add to GDP through Capex) to generate massive market value.

4. A Note on NEPSE

For the market in Nepal, the indicator often looks very different. Since a large portion of Nepal's economy is "informal" or based on private family businesses that aren't listed on the exchange, the Market Cap to GDP ratio might stay well below 1.0 even if the stocks that *are* listed are getting expensive.

The takeaway: Don't panic just because it hits 1.0, but when it nears 2.0 (like it is now), even the most optimistic investors start getting nervous.

For the NEPSE in May 2026, the Buffett Indicator is currently sitting at approximately 71.5%.

Based on the latest data for April/May 2026, here is the breakdown of the calculation:

Market Capitalization: ~NPR 4,671 billion (\$32.76 billion USD)

GDP (Projected 2026): ~NPR 6,532 billion (\$45.84 billion USD)

Buffett Indicator: 71.45%

What does this mean for you?

This 71.5% figure suggests that the Nepali market is significantly undervalued relative to its economy when compared to international benchmarks. However, there are a few local "quirks" to keep in mind:

Historical Context: In Nepal, this indicator rarely crosses 100%. (**When it approaches 100% the NRB usually increase interest rates to control it **). Its all-time high was around 85–90% during the 2021 bull run when the index hit 3,200. At the current 2,700–2,800 index range, we are well below those peak valuation levels.

The "Unlisted" Gap: A huge portion of Nepal's GDP comes from agriculture and small-scale trade that isn't represented on the stock exchange. Because the market is dominated by banks and hydropower, the indicator will always look "cheaper" than a diversified market like the US.

Growth Potential: The IMF and ADB have projected Nepal's GDP to grow by about 3.0% this year. If the market cap stays flat while GDP grows, the indicator will drop even further, making stocks look technically more attractive on a macro scale.

Comparison

Buffett Indicator: Overvaluation Warning		
Global & Regional Buffett Indicator Comparison (May 2026)		
Market	Buffett Indicator (%)	Status
US (S&P 500)	~227%	Aggressively Overvalued
Japan (Nikkei)	~165%	Significantly Overvalued
Canada (TSX)	~148%	Modestly Overvalued
Global Average	~115%	Fair Value
India (NIFTY)	~118%	Fair Value / Modest Overvaluation
China (SSE)	~65%	Undervalued
Nepal (NEPSE)	~71.5%	Under-represented / Undervalued
Sri Lanka (CSE)	~32%	Significantly Undervalued
Bangladesh (DSE)	~18%	Deeply Under-represented
Pakistan (PSX)	~15%	Deeply Under-represented / Crisis Value
Bhutan (RSEB)	~12%	Infancy Stage / Under-represented ✨

The Verdict: While the US is flashing red, NEPSE's macro valuation is actually quite modest. For a long-term investor, this suggests the "bubble" risk in Nepal is much

lower than in global markets, though local liquidity and interest rate cycles usually move the NEPSE more than GDP ratios do.

In many South Asian markets, like Nepal, the ratio is naturally lower because a large part of the economy (like agriculture and small family businesses) isn't listed on the stock exchange. By contrast, the US and Japan have highly "financialized" economies where almost every major sector is public.

The "Frontier" Gap: You'll notice that Pakistan, Bangladesh, and Bhutan have extremely low percentages. This isn't necessarily because their stocks are "cheap," but because their stock markets only represent a tiny sliver of their total economic activity.

India vs. Nepal: India is currently trading at a much higher valuation relative to its GDP than Nepal. This reflects the massive influx of foreign and domestic retail capital into Indian equities recently.

The "Safe" Zone: Generally, for a developing market like Nepal, anything between 60% and 80% is considered a healthy "accumulation" zone where the market isn't yet in a bubble.